Indian Spice Brands Everest and MDH Masala Under Scanner

Case Study

This case was written by **Rika Misra** and reviewed by **Dr. A. Saravanan Naidu**, Amity Research Centers Headquarter, Bangalore. It is intended to be used as the basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation. The case was compiled from published sources.

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"*The use of chemicals and preservatives in food is largely driven by cost considerations and the need for wide distribution*."

– Shashank Mehta, Founder and CEO, Whole Truth Foods[1]

The journey of Mahashian Di Hatti Pvt. Ltd. (MDH) and Everest Food Products Pvt. Ltd. (Everest Spices) was kicked off in 1919 and 1967 respectively. With the assurance to augment the flavour of the food dishes, both the companies had gradually won the hearts of the Indian families. Not only in India, both the spice brands had successfully established themselves in the overseas markets as well. MDH exported its products to some of the major countries across the globe like 'United States of America, Canada, United Kingdom, Europe, South East Asia, Japan, U.A.E. and Saudi Arabia', whereas Everest Spices exported its products to more than 65 countries worldwide.

As of April 2024, India was the largest exporter, consumer as well as manufacturer of spices across the globe. MDH and Everest Spices were among the leading companies in India's spices market, which was estimated to be worth $10.44 billion in 2022 by Zion Market Research. According to the Government of India, during FY2022-23, India had exported products amounting to $4 billion.

On April 5th 2024, Centre for Food Safety (CFS) of Hong Kong had instructed the people not to consume four products of these two Indian spice brands. In a release, CFS explained, "Samples of several kinds of prepackaged spice mix products were found to contain a pesticide, ethylene oxide. Members of the public should not consume the affected products. The trade should also stop using or selling the affected products immediately if they possess any of them." After Hong Kong's announcement, Singapore Food Agency (SFA) had also directed a recall of Everest Fish Curry Masala. SFA mentioned, "The Centre for Food Safety in Hong Kong has issued a notification on the recall of Everest Fish Curry Masala from India due to the presence of ethylene oxide at levels exceeding permissible limit. As the implicated products were imported into Singapore, the Singapore Food Agency (SFA) has directed the importer, Sp Muthiah & Sons Pte. Ltd., to recall the products. The recall is ongoing."

Ethylene Oxide was a pesticide, which was not supposed to be used in food products because it was a cancer-causing element **(Exhibit I).** The four spice blends which were withdrawn by CFS included MDH Madras Curry Powder, MDH Sambhar Masala Powder, MDH Curry Powder

[1] It manufactured protein bars without added sugar, artificial sweetener, preservative, or flavoring and coloring agent.

and Everest Fish Curry Masala. On the other hand, Everest Fish Curry Masala was withdrawn by SFA **(Exhibit II).** Samples of these spices were collected by Hong Kong's CFS of the 'Food and Environmental Hygiene Department' from retail outlets for the purpose of testing under its regular food surveillance programme. The results highlighted that the samples had ethylene oxide. According to a report by *Hindustan Times*[2], "The CFS informed vendors about the irregularities and instructed them to stop their sale and remove the products from the shelves. The Singapore Food Agency has also ordered back Everest's Fish Curry Masala after finding ethylene oxide at levels 'exceeding the permissible limit'."

Exhibit I
Ethylene Oxide and its Harmful Effects

As per the National Cancer Institute, US, at room temperature, ethylene oxide is a flammable colourless gas with a sweet odour. It is used primarily to produce other chemicals, and in smaller amounts, it is used as a pesticide and a sterilising agent. It is also used to make textiles, detergents, polyurethane foam, medicine, adhesives and solvents. Ethylene oxide is used as a fumigant for food spices to prevent microbial contamination, such as E coli and Salmonella. The International Agency for Research on Cancer has pointed out that ethylene oxide has been classified as a Group 1 carcinogen, which means it has "enough evidence to conclude that it can cause cancer in humans". Those exposed to the chemical for a long time could face irritation of the eyes, skin, nose, throat and lungs, and damage to the brain and the nervous system.

Source: Jain Samidha, "MDH and Everest controversy: Why the kings of Indian masalas are under the scanner", https://www.forbesindia.com/article/news/mdh-and-everest-controversy-why-the-kings-of-indian-masalas-are-under-the-scanner/92755/1, April 25th 2024

Exhibit II
Products under Scanner: MDH and Everest Spices

"Spices Board Examines Singapore And Hong Kong's Ban On Few Indian Brand Products", https://gssmedia.in/spices-board-investigates-bans-on-indian-spices-in-singapore-hong-konggss-media/, April 23rd 2024

In addition to Hong Kong and Singapore, the custom authorities in the US had also rejected approximately 31% of MDH products during the period from April to October 2023. Since October 2023, the 'refusal rate of MDH shipments have more than doubled to 31% from 15%, mainly due to salmonella contamination'. Like ethylene oxide, which was a cancer causing chemical, salmonella was an ingredient which caused foodborne diseases.

However, despite controversies surrounding the two Indian spice brands, both the companies denied such allegations. Everest Spices had responded to the matter by saying that its products were 'safe and of high quality'. According to a company spokesperson, "There have been reports of Everest being banned in Singapore and Hong Kong, but we want to clarify that

[2] **It is one of India's leading English news publications.**

this is false. Everest isn't banned in either country. Only one out of 60 Everest products has been held for examination… Everest upholds strict hygiene and safety standards in its manufacturing facilities." Similarly, MDH also assured that its products were safe to consume, and that nothing was communicated to the company by the regulators and authorities in Hong Kong or Singapore regarding the alleged contamination in its products. In an official note, MDH said, "We reassure our buyers and consumers that we do not use ethylene oxide at any stage of storing, processing, or packing our spices."

Like MDH and Everest Spices, there were several other food brands which had faced similar issues over the years. As of April 2024, according to a report by Public Eye and the International Baby Food Action Network (IBFAN), the top baby-food brands of Nestle that were marketed in low-income as well as middle-income countries as 'healthy and key to supporting young children's development', had 'high levels of added sugar'. The report further highlighted that the same products were sugar-free in other developed nations like the UK, Switzerland and Germany. Whereas high levels of added sugar in these products were found in 'Asian, African, and Latin American countries'. The study observed that in India, 'each serving of all 15 Cerelac baby products contains an average of close to 3 gm of sugar, while in Ethiopia and Thailand, it contains nearly 6 gm'. The study further mentioned that high levels of added sugar violated the international regulations which were targeted towards preventing obesity as well as chronic diseases.

Earlier, in June 2023, the US Food and Drug Administration (FDA) had directed the withdrawal of Everest Sambhar Masala and Everest Garam Masala, in addition to Nestle's 'Maggi Masala-ae-Magic' from 11 states in the US following positive test result for the Salmonella bacteria, which was reported to cause diarrhoea and nausea. Earlier, in September 2019, the FDA had directed a recall of MDH Sambhar Masala in Northern California owing to salmonella contamination. Following these reports, the Food Safety and Standards Authority of India (FSSAI) had directed the Indian states to do sample collection of various spices manufactured by these companies and conduct quality tests. The two companies under the lens, namely, MDH and Everest Spices, would have to face action according to the Food Safety Act if they were found to be at fault **(Exhibit III).**

Exhibit III
Leading Companies/Brands Which Came Under Regulators' Lens

- **Patanjali:** In late 2022, Patanjali faced a ban on its products in Nepal. The country's drug regulatory authority had blacklisted 16 Indian pharmaceutical companies. Among these names was Divya Pharmacy, which manufactured Patanjali products endorsed by Yoga Guru Ramdev. As per the custodians of the country, Patanjali had failed to comply with the World Health Organization's (WHO) drug manufacturing standards. It is also worth noting that recently even the Supreme Court had issued a prohibition on the company's advertisements over false claims.
- **Haldiram:** In 2015, several products under the brand were taken off the shelves by the US Food and Drug Administration (FDA) owing to reports indicating that the food products contained poisonous and adulterated content. However, the company later received clean chit and was brought back to the foreign market after a few months.
- **Nestle:** Nestle's Maggie had once faced a heavy prohibition, which eventually led to the product being removed from the shelves of every single supermarket, not only in India but in foreign nations as well. This was owing to the high concentration of lead found in the instant snack product. However, it was able to make a comeback in the Indian market after few months.

Source: "MDH-Everest Controversy: From Nestle To Haldiram, Top Brands Who Faced Regulators' Ire", https://business.outlookindia.com/news/mdh-everest-spice-ban-haldiram-maggi-nestle-patanjali-mdh-masala, April 30th 2024

According to the Economic think tank Global Trade Research Initiative[3] (GTRI), new countries have been raising concerns every day about the quality of Indian spices. The report claimed that to preserve the reputation of India's spice garden, this issue required immediate attention and action. The GTRI’s report further added, “With nearly USD 700 million worth of exports to critical markets at stake, and potential losses soaring to over half of India's total spice exports due to cascading regulatory actions in many countries, the integrity and future of India's spice trade hang in delicate balance… Swift investigations and the publication of findings are essential to re-establish global trust in Indian spices. Erring firms should face immediate repercussions.”

GTRI’s Co-founder Ajit Srivastava (Srivastava) stated, “This situation could worsen if the European Union, which regularly rejects Indian spice consignments over quality issues, follows suit. An EU-wide rejection could impact an additional USD 2.5 billion, bringing the total potential loss to 58.8 per cent of India's worldwide spice exports.” He added, “If China, influenced by actions in Hong Kong and ASEAN based on the precedents set by Singapore, decides to implement similar measures, Indian spice exports could see a dramatic downturn. The potential repercussions could affect exports valued at USD 2.17 billion, representing 51.1 per cent of India's global spice exports.” Srivastava cautioned that “if the quality of products from top Indian firms is questionable, it casts doubt on the integrity of spices available in the Indian market as well… The overall situation calls for a fundamental shift in how India handles food safety - transparency, stringent enforcement, and clear communication are crucial to restoring and maintaining the integrity of its exports and domestic products alike.”

On the other hand, as explained by Shashank Mehta (Mehta), Founder and CEO of Whole Truth Foods, in food items, the use of chemicals as well as preservatives was primarily driven by price considerations and the need for broad distribution. “As India is a very large complex and a very price-conscious market, one needs a shelf life of 15-20 months with a price of ₹10. Achieving that with real food is tough and chemicals become the answer to doing that, to reducing price – you don’t want to put real blueberries, put blueberry flavour in your food,” added Mehta. Ashwin Bhadri (Bhadri), Founder of Equinox Labs, said that some chemicals such as ethylene oxide (ETO) were used for sterilisation of spices and “Until there is no ban on it, it is going to continue to be used because it is very cost-effective. The problem with ETO is that it is not treated properly and remnants of it can stay in the product.” However, Bhadri claimed that third parties were also involved in the supply chain, as he said, “The brand cannot be blamed since ETO is done by a third party before getting supplied to a different country. So in this case, a lot of weightage would fall back on the third party but it also falls on the regulators.”

Against this backdrop, regarding the alleged contamination in their products, will the Indian spice brands be able to prove that they were not at fault? Or was it the price-sensitivity of the Indian consumers which had forced these spice brands to use chemicals to reduce product price and simultaneously improve the shelf life of the products?

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[3] The objective of GTRI was to develop ‘high-quality and jargon-free outputs for governments and industry’ from the viewpoint of development as well as reduction of poverty.

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